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BMI Business Model Innovation

Introduction

A business model is a system of interconnected activities performed by a focal firm (and often also by users and partners) in the pursuit of value creation and capture. Over the past few decades, exponential increases in computing power, ubiquitous connectivity, and artificial intelligence have vastly expanded both the variety of business models and their influence on firm performance. These changes are pervasive, comprehensive, and disruptive. Often touted as the “digitalization of business,” they go far beyond increasing firm efficiency and profitability through digitizing individual processes or functions within firms. They introduce new possibilities driven by network effects and ever-smarter algorithms, but they can also shake existing firms to the core.

These sweeping changes create enormous opportunities for aspiring entrepreneurs and managers alike. Just like Airbnb reshaped the hospitality industry, and Uber redefined personal transportation, innovative business models can upend entire industries. Competition is now between business models, not just companies—Airbnb v. Marriott, Robinhood v. UBS, and Shein v. Zara. Thus, managers of incumbent firms need to explore new possibilities for value creation that are anchored in the redesign of their firms’ business models, as seen in the automotive and financial services industries. Events like the COVID-19 pandemic or the war in Ukraine have accelerated this transformation, forcing companies to reinvent and reimagine themselves in response to altering preferences, habits, and risk attitudes of economic players.

Business Model Innovation (BMI) is an MBA elective course that equips you to become a more effective manager, entrepreneur, consultant, and business leader by focusing on the design, analysis, and implementation of cutting-edge business models. You will learn how to conceptualize and communicate innovative value-creation strategies and address the organizational challenges that come with business model innovation.

The course applies the same framework as the Business Model Challenge (BMC) course offered in the fall. This course is mostly case-based, while the BMC is mostly project-based.

The course complements other entrepreneurship and innovation electives, such as Corporate Entrepreneurship and Innovation Strategy, though it can also be taken independently.

Objectives

The main objective of the course is to familiarize you with the knowledge, concepts, and tools needed to diagnose and evaluate existing business models as well as to analyze, design, and implement novel business models. The concepts that form the basis for the course are deeply anchored in state-of-the-art research and practice on the subject of business model innovation. We will address both the content (e.g., the key components of a business model) as well as the process of business model design and innovation. The course material guides you through the strategic analysis, ideation and development stages of the business model innovation process; it helps you work through that process in a structured manner.

Content

Session	Session Title	Session Content	Date
1&2	Business Model Fundamentals	Introduction to the course and its key concepts	22 January
3&4	The Power of New Models	Business model mindset Framework for business model innovation	23 January
5&6	Solving the Right Problem	Problem identification Business model design drivers	30 January
7&8	Business Model Innovation Hackathon	Business model design process Designing a radically novel business model	6 February
9&10	Evaluating and Prototyping Business Model Innovations	Discovery-driven and lean business model innovation & approaches to prototyping	2 February
11&12	Scaling Business Model Innovation	Design for scaling: process and principles NICE value drivers	13 February
13&14	Capturing Value from Business Model Innovation	Design for profitability	13 March
15&16	Challenges of Implementing Business Model Innovation	Typical business model implementation challenges and barriers & how to approach them	20 March
17&18	Framing Business Model Innovation	Tools for framing novel business models to stakeholders	21 March
19&20	Thinking Strategically About Business Model Innovation	Thinking about business models strategically & adopting a business model innovation strategy Project presentations & course wrap-up	10 April

Evaluation

Course evaluation will be based on individual class participation (40%), in-class group assignments (30%) and a group project (30%).

Students are asked to form study group teams of between 6 and 7 students per team. Study groups are expected to meet to discuss the assigned cases and work together on in-class exercises, as well as on a final group project. Choose your teammates carefully – changes will not be allowed once your study group team has been formed.

For the final group project, each study group team is asked to identify and connect with a company of their choice at the beginning of the course. By engaging with executives in the chosen company, each study group team is expected to diagnose the current business model of the chosen company, draw the activity system map of the business model and provide a description of its value drivers. As well, each study group team is expected to conceptualize, design and outline the implementation challenges of a new, innovative, and scalable business model for the company using the concepts we will learn in class. The presentation of the project needs to be submitted **no later than Sunday, April 6th at 5:00 PM**. Each team should be prepared to present its work to the class during the final two class sessions.

In the final presentation, please also briefly share what you have learned during the course about business models and innovation. For example, mention where the class materials, class discussions, class exercises, and your group project have brought you in your thinking. Talk in terms of “before” and “after,” i.e., compare where your thinking was back before the course began with where it is now.

Course Outline & Bibliography

Sessions 1&2 Introduction to BMI: Fundamentals

- Why do business models matter?
- What is a business model? What is it not?
- The “What, How, Who & Why” framework

Readings & Case: Amit & Zott (2021), Chapters 1&2 (read pp.3-18, skim the rest)

Cuvva: Disrupting the Market for Car Insurance (INSEAD, 2018)

Cuvva case preparation questions:

- (1) What customer needs does Cuvva address, and are these significant?
- (2) What is Cuvva’s business model? Is it disruptive?
- (3) What strategic challenges do you see?

Team Assignment 1 (in class): WHWW Analysis

Sessions 3&4 The Power of New Models

- Business model mindset and why it is needed
- Ways to foster a business model mindset
- A framework for business model innovation

Readings & Case: Amit & Zott (2021), Chapters 3 & 4 (read pp.55-65, 77-78, 85-95, skim the rest)
NIO: Battery-as-a-service (SMU, 2021)

NIO case preparation questions:

- (1) What are the key activities of NIO's business model? How innovative is it?
- (2) What are the strengths and weaknesses of NIO's business model?
- (3) Does NIO's business model confer a competitive advantage?

Team Assignment 2 (in class): Activity Map

Sessions 5&6 Solving the Right Problem

- Business model design drivers
- Problem identification tools

Readings: Amit & Zott (2021), Chapters 4 & 5 (read pp. 143-147, skim the rest); see Tools 4 and 5 "**Problem Statement**" and "**Business Model Questionnaire**" on pp. 257-261
ON: (HBS, 2023)

ON case preparation questions:

- (1) Would you launch Cyclon? If so, which pricing would you choose? Why?
- (2) What are alternative models to introduce Cloudneo?
- (3) How did On manage to enter the global sports footwear market?

Team Assignment 3 (in class): Problem Statement

Sessions 7&8 BMI Hackathon

- Business model design drivers
- Business model design process
- Generating breakthrough business model innovations using pattern cards

Readings: Amit & Zott (2021), Chapters 5 & 6 (read pp.129-149, 161-176, skim the rest)

Team Assignment 4 (in class): Press Release

Sessions 9&10 Evaluating and Prototyping BMI

- Discovery-driven business model innovation: fail soon, fail fast
- Lean business model development: test, test, test

Readings & Case: Amit & Zott (2021), Chapter 7 (read pp.191-206, 212-218, skim the rest)
MoviePass (HBS, 2019)

MoviePass case preparation questions:

- (1) Conduct a post mortem analysis: Why did the company fail?
- (2) Could failure have been avoided, and if so, how?
- (3) What were the key unknowns and what should Mitch Lowe have done about them?

Team Assignment 5 (in class): Pre-mortem

Sessions 11&12 Scaling BMI

- Design for scaling: process and principles
- NICE value drivers

Readings & Case: Amit & Zott (2021), Chapter 8 (pp. 223-242), see Tool 13 “**Value Driver Matrix**” on p. 273
Inditech (professor’s document) will be distributed in the Virtual Campus prior to class.

Inditech case preparation questions:

- (1) What are the strengths and weaknesses of the Inditech business model? What improvements would you suggest?
- (2) How do you evaluate GK’s approach to scaling?
- (3) Has GK solved the problem he set out to tackle?

Team Assignment 6 (in class): NICE value drivers

Sessions 13&14 Capturing Value from BMI

- Designing business models for profitability
- Protection mechanisms

Readings & Case: Amit & Zott (2021), Chapter 8 (pp. 242-245)
AFEX (professor’s document) will be distributed in the Virtual Campus prior to class.

Afex case preparation questions:

- (1) What should Ayodeji do next?
- (2) What explains the sequencing of business development at AFEX?
- (3) How do you evaluate AFEX's business model?

Team Assignment 7 (in class): BMI protection mechanisms

Sessions 15&16 Managing the Organizational Challenges of BMI

- Business model implementation challenges in startups and in established firms
- Overcoming resistance to change and organizational inertia in established firms
- Recognizing and managing business model implementation risks in startups
- The roles of governance, organization, culture and management for successful business model implementation

Readings & Case: Amit & Zott (2021), Chapters 10 & 11 (read pp.279-291, 307-332, skim the rest)
Bosch: Scaling Large Company Innovation for Strategic Advantage (Berkeley, 2020)

Bosch case preparation questions:

- (1) Would you join the Bosch BMC/IN team as an associate? Why/why not?
- (2) How would you assess their approach towards business model innovation?
- (3) What implementation challenges do you think they have been encountering?

Team Assignment 8 (in class): DESIGN Drivers

Sessions 17&18 Framing Business Model Innovation

- Tools for framing novel business models
- Opportunities and challenges of framing novelty
- Framing trade-offs

Readings: Snihur et al. (2022) Entrepreneurial Framing Strategies: A Cumulative Review and Future Research Agenda" *Entrepreneurship Theory and Practice*, 46(3), 578-606.
Amit & Zott (2021), Chapter 9, see Tool 1 "**Story of How it Works**" on pp. 251-254

Team Assignment 9 (in class): Project Framing

Sessions 19&20 Project Delivery: Thinking Strategically about BMI

- Student teams present their projects to the class
- Course wrap-up

Reading: Amit & Zott (2021), Chapters 5 (pp.149-153) & 12

Bibliography and Methodology

Amit, R., and Zott, C. 2021. Business Model Innovation Strategy, Wiley & Sons.

You will be introduced to a novel framework for developing business model innovations described in “Business Model Innovation Strategy: Transformational Concepts and Tools for Entrepreneurial Leaders” by Raphael Amit and Christoph Zott (2021). The framework will be brought to life through a combination of lectures, in-class exercises, illustrations, case discussions and guest speakers.

Professor's Biography

Yuliya Snihur: Associate Professor of Entrepreneurship

HDR (Habilitation to Direct Research), University Toulouse 1, France

PhD, IESE Business School, Spain

Bachelor in International Business, Northeastern University, Boston, USA

Bachelor in European Management, Neoma, France

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For the past 25 years, Prof. Snihur has worked and lived in France, Belgium, Spain, and US. Prof. Snihur teaches courses on entrepreneurship and business model innovation in IESE MBA and Executive Education programs. She advises students and startups, scale-ups, and established firms interested in business model innovation practice and research. She has worked with and mentored entrepreneurs from Africa, Brazil, Europe, and India. She is passionate about helping people and companies innovate and “create something from nothing.”

Prof. Snihur has written a book as well as over 25 refereed academic articles published in top management journals. Her research lies at the intersection of entrepreneurship, innovation, and organization theory. She studies how entrepreneurial leaders design innovative and high-performing business models in both new and established firms when facing technological change, disruptions, and evolving ecosystems.

In addition to being an experienced teacher, researcher, adviser, and mentor, Prof. Snihur has served in a variety of professional leadership positions. For example, she served as the Associate Editor of the Journal of Management Studies, a leading management journal. Additionally, she has supervised several PhD and DBA students that have successfully defended their dissertations in France and in China and acted as external PhD examiner and judge for doctoral research awards.

Additional Information for Reporting and Accreditation Purposes

Learning Goals & Learning Objectives

LG1: Entrepreneurial mindset

LO 1. Students will develop an innovation mindset and bring creativity into problem solving

LO 2. Students will assess and develop the skills of the entrepreneurial manager

LO 3. Students will be able to turn an idea into a revenue-generating business, in various contexts: for example, in a corporate setting, family business, or start up

LO 4. Students will be able to design the business model, gather resources, and communicate the new opportunity to stakeholders

Competences

The course fosters valuable competences for MBA students interested in innovation, design, entrepreneurship, consulting, and general management. Top managers and entrepreneurs need to be able to design and implement value-creating business models to ensure the viability, success, and sustainability of their firms. Recent studies indicate that these competences have indeed become crucial for managers to help them address disruptions in their respective industries, and to leverage new business opportunities that present themselves through new technologies, digitalization and shifts in customer preferences. Business model analysis and design are also quickly becoming essential ingredients of the senior consultant's toolkit who aspires to provide premium advice and help to top managers and entrepreneurs. Accordingly, the course will provide you with the following skills:

Business Model Competences

- Adopt a holistic and systemic perspective of the firm, the stakeholders that are involved in its value-creating activities, and the ecosystem in which the firm is embedded
- Understand the firm's business model as a level of analysis that is distinct from other levels (e.g., product, process, organization, or industry) and hence a unique differentiating factor
- Articulate, depict, and evaluate the business model of an existing firm
- Analyse its strengths and weaknesses
- Describe its key components and value drivers
- Understand the different steps in the design process
- Apply design thinking to the development of a new business model for an established firm
- Understand the drivers of the design process, and how they influence the business model design outcome
- Present your newly developed business model concept to senior managers and convince them about the merits of your ideas

Basic Competences

CB6. Possess and understand knowledge that provides a basis or opportunity to be original in the development and / or application of ideas, often in a research context.

CB7. The students know how to apply the knowledge acquired and their ability to solve problems in new or unfamiliar environments within broader (or multidisciplinary) contexts related to their area of study.

CB8. The students can integrate knowledge and face the complexity of formulating judgments based on information that, being incomplete or limited, includes reflections on social and ethical responsibilities linked to the application of their knowledge and judgments.

CB9. Students know how to communicate their conclusions and the knowledge and ultimate reasons that support them to specialized and non-specialized audiences in a clear and unambiguous way.

CB10. Students possess the learning skills that allow them to continue studying in a way that will be largely self-directed or autonomous.

General Competences

CG5. Show entrepreneurial behavior, initiating and promoting the necessary changes with energy and personal responsibility.

CG6. Prioritize objectives, schedule activities appropriately, and execute them within the scheduled time.

CG7. Identify and deal effectively with information relevant to their work.

Specific Competences

CE01. Apply a structured and rigorous process of analysis of business situations and decision making that incorporates the following phases: diagnosis of the problem, selection of criteria, identification of alternatives, weighted analysis, and identifying an alternative with its consequent action plan.

CE02. Prepare structured, synthetic, and clear executive reports for the analysis and decision-making of business situations.

CE04. Understand and apply judiciously quantitative tools to analyze and make decisions. Understand the assumptions implicit in the models and the limitations and risks of the models when putting them into practice.

CE07. Apply the techniques and skills in handling situations with others, to effectively manage teams and resolve conflicts in multicultural environments.

CE13. Understand the opportunities associated with Corporate Social Responsibility (CSR). Being able to develop a strategic CSR plan using a variety of planning tools.

CE16. Implement product and service delivery strategies that integrate all the actors in the production chain: suppliers, manufacturers, distributors, and customers.

CE18. Analyze markets and new business opportunities. Design rigorous, relevant, and effective market research. Understand with depth and put into practice the concepts of segmentation, targeting, and positioning.

CE19. Analyze consumer behaviour using empirical analysis tools and theoretical models of human behaviour.

Sustainable Development Goals (SDG)

SDG 1 – No Poverty

SDG 2 – Zero Hunger

SDG 3 – Good Health and Well-Being

SDG 4 – Quality Education

SDG 6 – Clean Water and Sanitation

SDG 7 – Affordable and Clean Energy

SDG 9 – Industry Innovation and Infrastructure

SDG 10 – Reduced Inequalities

SDG 11 – Sustainable Cities and Communities

SDG 12 – Responsible Consumption and Production

SDG 17 – Partnerships for the Goals